

ACC241 – Chapter 6

Activity #2 - Use Cost Equation to Predict Costs

Selected financial data for Kenny Enterprises follows for a production level of 120,000 units:

Total fixed costs	\$300,000
Total costs (fixed and variable)	\$450,000

This cost data is applicable for a relevant range of 50,000 to 200,000 units. Answer the following:

- a. Calculate the variable cost per unit.
- b. If Kenny Corporation makes 100,000 units, calculate the total fixed cost.
- c. If Kenny Corporation makes 160,000 units, calculate the total variable costs.
- d. If Kenny Corporation makes 180,000 units, calculate the total costs.
- e. If Kenny Corporation makes 250,000 units, calculate the total costs.